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CASE #	CASE NAME	HEARING NAME
CVRI2506570	ARANA VS ECO FARMS TRADING OPERATIONS LLC	DEMURRER ON 1ST AMENDED COMPLAINT

Tentative Ruling:

Moving party: Defendants Dole Food Company, Inc. (“Dole”) and David Oppenheimer and Company I, LLC (“DOCI”) (Collectively, “Defendants”)

Responding party: Plaintiff Jonathan Arana (“Plaintiff”)

On November 14, 2025, Plaintiff filed this employment action against his former employer, Eco Farms Trading Company (“Eco Farms”) and four additional entities, including Dole and DOCI, claiming that they are liable as direct employers, business-entity agent employers, alter egos of, and/or part of an integrated enterprise with Eco Farms.

On that basis, Plaintiff asserts seven causes of action against the five entity defendants in his First Amended Complaint (“FAC”), filed on January 26, 2026, including Dole and DOCI, for: (1) sexual harassment in violation of the California Fair Employment and Housing Act (“FEHA”); (2) retaliation in violation of FEHA; (3) failure to prevent discrimination and retaliation in violation of FEHA; (4) wrongful termination in violation of public policy; (5) retaliation in violation of California Labor Code § 232.5; (6) retaliation in violation of California Labor Code § 1102.5; and (7) retaliation in violation of California Labor Code § 6310.2. Plaintiff also alleges causes of action against five individual defendants for harassment and retaliation under Labor Code § 1102.5.

Plaintiff agreed to voluntarily dismiss, without prejudice, Eco Farms and Oppy Ventures, LLC.

Plaintiff was employed by Eco Farms in various food safety roles from in or about May 2022 to November 2024 when he was terminated as part of a reduction in force. (Complaint, ¶¶ 27, 28, 46, 47.) He claims that during his employment, he was sexually harassed by two of his Eco Farms co-workers, complained to Eco Farms about their harassment and other safety violations, and was terminated by Eco Farms in retaliation for his complaints. (Id., ¶¶ 29-47.) Although Eco Farms was clearly Plaintiff’s employer and the employer of all the alleged “bad actors,” he alleges that all actions were committed by “Defendants,” who are defined interchangeably as Eco Farms, Dole, Eco Farms Investment Holdings, LLC, Oppy Ventures, LLC, and David Oppenheimer and Company I, LLC. Plaintiff does not differentiate between any of the five different entities who he has sued; he simply alleges that all are authorized agents of the other, are acting on each other’s behalf, and other boilerplate and conclusory allegations to that effect. (Id., ¶¶ 22-26.)

Defendants now demurrer to the 1st-7th causes of action on grounds of failure to state facts sufficient to constitute a cause of action. Defendants contend that: (1) Plaintiff improperly attempts to hold Dole and DOCI liable as Plaintiff's direct employer; (2) Plaintiff fails to sufficiently allege that Dole or DOCI are liable under FEHA as a business-entity agent employer; (3) Plaintiff fails to sufficiently allege that Dole and DOCI are liable under the alter ego doctrine; and (4) Plaintiff fails to sufficiently allege that Dole and DOCI are liable under an integrated enterprise theory of liability.

In Opposition, Plaintiff contends that: (1) Dole and DOCI exerted significant control over Plaintiff's employment, making both Defendants joint employers; (2) Plaintiff sufficiently alleged facts to state causes of action against Dole and DOCI as business entity agent employers; (3) Plaintiff has sufficiently alleged Defendants' alter-ego liability; and (4) Plaintiff has sufficiently alleged that Eco, Dole and DOCI are one and the same under an integrated enterprise.

In Reply, Defendants primarily repeat moving arguments.

Analysis

I. Meet and Confer

Defendants have complied with their statutory obligation to meet and confer pursuant to CCP § 430.41. (See Declaration of Catlin I. Sanders, page 2, lines 14-18.)

II. Standard

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (CCP § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) Facts appearing in exhibits attached to the complaint will also be accepted as true and, if contrary allegations appear in the complaint, will be given precedence. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 606.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

III. Merits

Here, there are no facts alleged (which are non-conclusory or non-boilerplate) by Plaintiff that establish that either demurring entity (Eco or DOCI) was his employer or is liable under any of the four asserted theories, discussed below.

In addition, as noted by Eco and DOCI, Plaintiff does not show how DOCI is liable at all. Although counsel identified DOCI in the demurrer and met and conferred at length about it (See Sanders Decl.) Plaintiff's marquee argument—that "DOCI['s]" CEO, David Smith, allegedly said to "fire the letter writer"—rests entirely on allegations the FAC pleads against Oppy Ventures LLC, a separate entity Plaintiff apparently already agreed to dismiss by joint stipulation. Plaintiff's counsel, Brennan Kahn, stated: "[P]er the terms of the stip you suggested below [dismissal without prejudice], we will agree to dismiss Oppy [Ventures LLC] and Eco Farms Investment Holdings without prejudice for now." (Sanders Decl., Ex. A, email dated 4/28/26.)

By the FAC's own defined terms, those linchpin "control" and "wrongful termination" allegations run only against the soon-to-be-dismissed entity, not DOCI. Stripped of that conflation, the FAC says nothing about DOCI: the only relevant paragraphs that mention it (¶¶ 24-26) recite boilerplate alter-ego, integrated-enterprise, and joint-employer conclusions that could be dropped into any complaint against any group of affiliated companies.

A. Joint Employment by Dole or DOCI is not alleged

The Opposition fails to defend the demurring entity, David Oppenheimer Company I, LLC and instead relies on allegations pleaded against Oppy Ventures, LLC

First, the FAC defines to distinct Oppenheimer-affiliated ventures: (1) Oppy Ventures LLC and (2) David Oppenheimer and Company, LLC ("DOCI"). Plaintiff agreed to voluntarily dismiss DOCI Ventures LLC without prejudice. (See Sanders Decl., Ex. A, pg. 7.) The only Oppenheimer-affiliated entity at issue before the Court on this Demurrer is DOCI.

However, the Opposition's entire argument for keeping DOCI in the case depends on allegations the FAC pleads against Oppy Ventures LLC, the soon-to-be-dismissed entity. First, Plaintiff's central theory is that "SMITH, Oppy's CEO, was heard saying 'fire the letter writer,'" and that Smith instructed Taft to terminate complaining employees. (Opp'n at p. 12; FAC ¶ 44.) That allegation concerns Oppy Ventures LLC, not DOCI.

Second, Plaintiff relies on a company party "hosted by Oppy" (Opp'n at p. 13; FAC ¶ 32) and on the allegation that "Oppy CEO favored HERNANDEZ" (FAC ¶ 33)—again, allegations directed at Oppy Ventures LLC, not DOCI.

Taking the FAC as pleaded, there are no facts alleged showing that DOCI employed Plaintiff, controlled the terms of his employment, carried out any FEHA-regulated activity, or made any decision concerning his termination. And Plaintiff's failure to address an argument in opposition concedes it. (See also, *Sexton v. Superior Court* (1997) 58 Cal. App. 4th 1403, 1410 (1997) (failure to address an argument in opposition concedes it); *Herzberg v. County of Plumas* 133 Cal. App. 4th 1, 20 (2005) (same).)

Plaintiff concedes that Eco Farms, not Dole or DOCL, was his direct employer and pleads no facts establishing joint employment.

Only an employer may be held liable for the FEHA and Labor Code claims Plaintiff asserts. (See *Yau v. Allen*, 229 Cal. App. 4th 144, 154 (2014); *Miklosy v. Regents of Univ. of Cal.*, 44 Cal. 4th 876, 901 (2008).) It is undisputed that: employer status turns on the totality of the circumstances, including: payment of wages and benefits, ownership of equipment, work location, training, authority to hire, discipline, or discharge, and control over schedule and compensation, with the right to control the means and manner of the employee's work being most important. (See *Vernon v. State of Calif.* (2004) 116 Cal. App. 4th 114, 124-125; *McCoy v. Pacific Maritime Ass'n.* (2014) 216 Cal. App. 4th 283, 301-302.)

Here, Plaintiff concedes that Eco Farms was his only direct employer, not Dole or DOCL. 3 (Opp'n at 6:8-10 ("Plaintiff's direct employer, Eco Farms Trading Operations LLC"), 16:18-19 (alleging that Dole and Oppy Ventures LLC carried out FEHA activities for Eco Farms).) Certain parts of the FAC also allege that EFIH was Plaintiff's direct employer. However, in light of the explicit position taken in Plaintiff's Opposition, the Court deems any such theory abandoned. (See *Herzberg v. Cnty. of Plumas* (2005) 133 Cal. App. 4th 1, 20 (holding that plaintiffs abandoned an issue by failing to address it in their opposition to a demurrer).)

Plaintiff's only remaining theories against Dole and DOCL are thus joint employment, business-entity agent liability, alter ego, and integrated enterprise, each of which fails

Joint employment. Neither Plaintiff nor the FAC pleads the facts necessary to withstand a demurrer: that Dole and DOCL exerted day-to-day control over Plaintiff's work. Plaintiff alleges no facts showing that Dole or DOCL paid his wages; set his schedule or compensation; trained him; supervised his day-to-day work; or had authority to hire, promote, or discharge him. At most, the FAC alleges that Dole and DOCL were "delegated" certain business functions and performed them "as to Plaintiff's work performed for ECO and EFIH through his employment as well" (FAC ¶ 25), and that all five entity defendants "maintained and exercised control over the terms and conditions of their collective employees, including Plaintiff, as well as the day-to-day operations of each other" (id. ¶ 26)

As noted by moving Defendants, Paragraphs 25 and 26 of the FAC remain quintessential group pleading without any facts stating or showing how Dole or DOCL actually exercised day-to-day control over, or performed those business functions as to, Plaintiff or any other employee. Conclusory allegations of "control" and "delegation," untethered to specific facts, are insufficient to withstand a general demurrer.

Plaintiff's only entity-specific argument is that Dole implemented an HR portal in 2023 for anonymous reports and complaints, and that after Plaintiff used it, "Defendant's [all five entity defendants] managing agents" accused him of not being a "team player" and he believed his job was threatened. (FAC ¶¶ 34-35; Opp'n at p. 13.) But even assuming Dole maintained such a portal (it does not) operating a reporting channel

does not establish that Dole controlled the means and manner of Plaintiff's work, or satisfies any other Vernon factor. If anything, the FAC alleges the reverse: that Defendants "instructed employees, including Plaintiff, not to use DOLE's HR portal" and to "go directly to Defendant with their complaints." (FAC ¶ 34.) An entity that is alleged to have discouraged use of its own channel plainly did not use that channel to control Plaintiff's employment. And the Opposition concedes that Eco Farms (not Dole) "was charged with investigating his FEHA-related complaints" (Opp'n p. 14:14–15), confirming that the portal allegation reflects Eco Farms' control, not Dole's.

Defendants state: "While recognizing that extrinsic evidence is not properly considered on demurrer, Dole does not maintain an HR portal. Rather, Dole maintains a public complaint hotline that employees of Eco Farms found and evidently began utilizing anonymously. The complaint hotline can be found here: <https://secure.ethicspoint.com/domain/media/en/gui/58808/index.html>. If a complaint was made that pertained to Eco Farms (one of two dozen options), it would get filtered to Eco Farms. Dole had no involvement in receiving, reviewing, or investigating any complaints." (Reply, fn 5.)

Business Entity-Agent Liability. An employer's business-entity agent may be directly liable under FEHA only where it has at least five employees and acts as an agent and affirmatively carried out FEHA-regulated activities on the employer's behalf. (*Raines v. U.S. Healthworks Medical Group* (2023) 15 Cal. 5th 268 ((holding that a third-party agent that conducted unlawful pre-employment medical screenings on the employer's behalf could be directly liable as an "employer" under Government Code § 12926(d)).)

Here, Plaintiff fails to plead that Dole and DOCI individually meet the five-employee threshold. Instead, the FAC alleges "Defendant, inclusive of all such entities, employs thousands of employees" (FAC ¶ 27.) The allegation is aggregated, not entity-specific and that omission alone defeats the theory.

Plaintiff misstates that FAC when it asserts that "Dole and Oppy instructed Eco Farm's employees, such as Plaintiff, to bring FEHA-related complaints, and other complaints such as OSHA violations, to each defendant, through Dole's HR Portal and Oppy's managing agents and supervisors." (Opp'n p. 16.) The FAC alleges no such instruction. It claims that Plaintiff reported OSHA and safety violations to his supervisors (FAC ¶ 30), harassment to his supervisors, HR, and Dole's portal (id. ¶ 29), and other complaints to unspecified managing agents and HR (id. ¶¶ 31, 36, 42). If anything, the FAC alleges the opposite: that Defendants "instructed employees, including Plaintiff, not to use DOLE's HR portal," and that "all employees were to go directly to Defendant with their complaints." (Id. ¶ 34.) But even crediting the portal allegation, merely providing a channel to receive complaints is not the carrying out of a FEHA-regulated activity; *Raines v. U.S. Healthworks Medical Group* (2023) 15 Cal.4th 268 requires that the agent affirmatively perform the employer's FEHA functions—investigating, remedying, or making employment decisions— not simply collect reports that the employer then handles.

At most, the FAC alleges that OPPY, DOCI, and DOLE were "delegated" the function of addressing, investigating, preventing, or remedying FEHA violations and "performed these functions as to Plaintiff's work performed for ECO and EFH." (Id. ¶ 25.) That conclusory (and confusing) contention parrots the legal standard without a single fact showing what any entity actually did and thus does not establish that Dole or DOCI carried out FEHA-regulated activities on Eco Farms's behalf, as *Raines* requires.

Alter Ego Liability. To plead alter ego, Plaintiff must allege facts showing (1) such a unity of interest and ownership that the separate personalities of the entities no longer exist, and (2) an inequitable result if the acts are treated as those of one entity alone. (*Sonora Diamond Corp. v. Superior Court*, 83 Cal. App. 4th 523 (2000); *Leek v. Cooper*, 194 Cal. App. 4th 399, 411, 412-13 (2011) ("[T]he corporate form will be disregarded only in narrowly defined circumstances and only when the ends of justice so require.") (citation omitted).) Essential facts supporting the doctrine, not labels, must be pleaded. (Id.) (*Meadows v. Emmett & Chandler* (1950) 99 Cal. App. 2d 496, 497; see, e.g., *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal. App. 5th 677, 696.)

Here, in the Opposition, Plaintiff recites the familiar unity-of-interest "factors" for the first time (commingling of funds and assets, shared employees and counsel, identical equitable ownership, common facilities, and disregard of corporate formalities) (See Opposition, page 17, lines 13-19.), but a plaintiff cannot amend his complaint through his opposition brief, and; the operative question is what the FAC pleads. Also, the FAC pleads no facts supporting any of those factors. Paragraph 24 alleges only that the entities "share resources, including finances," "held themselves out interchangeably," and "failed to observe corporate formalities"—precisely the formulaic recital that *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677 and *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 412-413 hold insufficient on demurrer. The FAC never identifies which assets or funds are commingled, which facilities or address the entities share, who the alleged common owners are to establish "identical equitable ownership," or which corporate formality was disregarded.

Finally, Plaintiff fails to identify an inequitable result that would follow from respecting the corporate separateness of Eco Farms, Dole, and DOCI, which, alone, is an independent ground to sustain the Demurrer on the alter ego theory. The second prong requires facts showing that treating the entities as distinct would "sanction a fraud or promote injustice" not merely that Plaintiff might recover against one entity rather than another. (*Leek*, 194 Cal. App. 4th at 415.) Plaintiff pleads no such facts: he does not allege that Eco Farms is insolvent, undercapitalized, or otherwise unable to respond in damages, and the mere possibility that he could recover from additional defendants is not the kind of inequity the doctrine addresses.

Note that Plaintiff tries to distinguish *Leek* as a "summary judgment case" misreads it; *Leek* states that "although the case arises on motion for summary judgment, it is in fact a pleading case" and sets out the pleading requirements for alter ego liability. (*Leek*, 194 Cal. App. 4th at 415.)

Plaintiff's reliance on *Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal. App. 4th 221, 235–36 fails as well. *Rutherford* still requires "ultimate facts" supporting

each element (with less particularity where facts lie in the defendant's superior knowledge), and the plaintiff there pleaded them—that the defendant dominated the entity, treated its assets as his own, and stripped it to avoid creditors. Plaintiff pleads nothing comparable: only Paragraph 24's conclusory recitals, with no facts showing commingling, undercapitalization, or any other unity of interest among Eco Farms, Dole, and DOCI. He thus falls short even of Rutherford's forgiving standard.

Integrated Enterprise. It is undisputed that the integrated-enterprise theory requires facts showing four factors: interrelation of operations, common management, centralized control of labor relations, and common ownership or financial control, with the critical inquiry being which entity made the final decisions regarding employment matters related to the plaintiff. (*Laird v. Capital Cities/ABC, Inc.* (1998) 68 Cal. App. 4th 727, 737-40.) “Common ownership or control alone is never enough to establish parent liability.” (Id. at 738.)

Plaintiff rests on the same conclusory paragraphs (FAC at ¶¶ 24-26) and the same Smith/Oppy Ventures LLC allegations addressed above. He alleges no facts showing that Dole or DOCI shared common management, ownership/financial control, or centralized control of labor operations, or made the final decision regarding his discipline or termination. As explained by moving Defendants, to the contrary, Plaintiff's own pleading attributes that decision to David Smith, Oppy Ventures LLC's CEO and Steven Taft, Eco Farm's CEO—neither of whom is alleged to have any role at Dole or DOCI. Instead, the FAC makes sweeping contentions, which the Court need not accept. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (the court does not assume the truth of “contentions, deductions or conclusions of fact or law.”).)

Paragraph 25, for example, asserts that Eco Farms and EFIH delegated to three separate entities the payment of wages, accounting, workers' compensation administration, HR, discipline and termination, accommodation and leave, and the investigation/prevention of FEHA violations—all at once. Plaintiff never explains how five distinct entities simultaneously performed all of these functions as to him and his coworkers, and his failure to allege a single supporting fact confirms that the integrated-enterprise theory is a legal conclusion, not a pleaded claim.

The FAC goes on to contend, “in addition to that joint employment relationship, ECO and EFIH have consistently delegated to OPPY, DOCI, and DOLE, as their alter egos and/or business entity agents, human resource decisions, including as to discipline, termination and obligations and/or duties which would be found under California's Fair Employment and Housing Act, as to ECO and/or EFIH's direct employees, including Plaintiff.” (FAC ¶ 26). But alleging that these entities were delegated “duties which would be found under” FEHA is a legal label, not a fact, and it does not satisfy *Laird*. What matters under *Laird* is not that a function could be delegated in the abstract, but that the defendant actually exercised it. (*Laird, supra*, 68 Cal. App. 4th at 738.)

Even at the pleading stage Plaintiff is required to allege specific facts detailing and supporting each element, not merely invoke the legal theory. (*Laird*, 68 Cal. App. 4th at 738–40.) To show *interrelation of operations*, Plaintiff must allege facts

demonstrating functional integration between Eco Farms's operations and those of Dole or DOCI; he alleges none. To show *centralized control of labor relations*, he had to plead facts showing that Dole or DOCI controlled hiring, firing, supervision, and other labor-relations matters across the entities; again, none. To show *common management and ownership*, he had to plead facts showing shared management personnel and ownership interests; again, none. Instead, Plaintiff alleges only that the entities "share resources" and "held themselves out interchangeably" to their employees and customers (which is false). (FAC ¶ 24.) Treating all five entity defendants as one, without a single supporting fact, is insufficient as a matter of law.

Importantly, Plaintiff pleads no facts satisfying the controlling *Laird* inquiry: which entity exercised day-to-day control over the employment decisions affecting Eco Farms's employees, including Plaintiff. For example, he does not allege that his handbook referenced Dole or DOCI, either entity issued his W-2s, or that his employment application or offer letter named either entity. Because Plaintiff pleads no facts satisfying any *Laird* factor as to either demurring entity (much less the controlling one), the integrated-enterprise theory fails as a matter of law. Defendants are correct that the integrated-enterprise standard is less demanding than the alter ego test; accordingly, a plaintiff who fails to plead an integrated enterprise necessarily fails to plead alter ego as well. (*Laird v. Capital Cities/ABC, Inc.*, 68 Cal. App. 4th at 741.) Plaintiff's failure here is therefore fatal to both theories.

Sustain demurrer without leave to amend on grounds stated.